
EFCC NFIU
NIGERIAN FINANCIAL INTELLIGENCE UNIT
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Anti-Money Laundering/
Combating the Financing
of Terrorism
AML/CFT
REPORTING
GUIDELINES

## 1. INTRODUCTION

The Nigerian Financial Intelligence Unit (NFIU) is the central national agency in Nigeria responsible for the receipt and analysis of financial disclosures; currency transaction reports (CTR) and suspicious transaction reports (STR) on money laundering and terrorism financing. It also has the responsibility of disseminating intelligence generated there-from to competent authorities. To effectively administer these functions, there must be a corresponding level of commitment and efficient means of filing these reports from the reporting entities.

To effectively discharge its functions, the NFIU needs credible data. These data must meet reporting standard as well as be filed to the NFIU appropriately. It is pertinent to state that the NFIU system accepts only data sent on XML, specifically on the 3.1 XML schema. This schema was developed to ease reporting process and analysis of financial disclosures. Consequently, reporting entities need to be properly guided on the new reporting process. To this end, this Reporting Guideline is developed with the primary objective of bridging the observed weaknesses in the existing reporting procedure.

It is also intended to educate, monitor and work to improve the effectiveness of reporting entities' compliance with the requirements of the Anti-Money Laundering Prohibition Act, ML (P) A, 2011 and Prevention of Terrorism Act (PTA), 2011. In some circumstances, we seek to enforce compliance with these Acts through more formal mechanism.

## 2. REPORTING REQUIREMENTS

Under the new AML/CFT legal regime, Financial Institutions (FIs) and Designated Non-financial Institutions (DNFIs) are required to file the following reports to the NFIU;

- Currency Transaction Reports under sections 2 and 10 of the Money Laundering Prohibition Act (MLPA), 2011

- Suspicious Transactions Report on Money Laundering under section 6 of the Money Laundering Prohibition Act (MLPA), 2011
- Suspicious Transactions Report on Financing of Terrorism under section 14 of Prohibition of Terrorism Act (PTA), 2011

Reporting entities are also required to render other regulatory returns as contained in various AML/CFT regulations issued by financial sector regulators and other competent authorities. Except for Suspicious Transaction Report (STR) all other Statutory and regulatory reports are to be generated and forwarded to both the regulators and NFIU on the approved standard formats designed by the respective regulators in conjunction with the NFIU.

## 3. NIL REPORTS

Where a reporting entity has a nil report such a report is required to be sent to the NFIU via the Compliance Department's email address nfiucompliance@efccnigeria.org, and copying the regulators as evidence to show compliance with the relevant provisions of the laws and regulations.

## 4. GENERATION AND FILING OF STATUTORY REPORTS

The NFIU's reporting format is automated and designed to accommodate the different types of reports to be filed by Reporting Entities operating within the various Financial and Non-Financial Sectors. As such, the format contains certain sections of suspicious activity characterizations, which will generally be most relevant to a specific industry. When the filing institution's industry is selected, in the discrete version of the report, those sections specific to other industries will automatically be noted as not applicable, by being grayed out.

Thus it is expected that all Reporting Entities should procure appropriate AML/CFT solutions as well as put in place robust reporting system to facilitate generation and filing of reports to the NFIU on XML format.

## 5. REGISTRATION REQUIREMENT

Only the Chief Compliance Officers (CCOs) and Money Laundering Reporting Officers (MLROs) are required to register on the web using the NFIU web reporting portal on the NFIU website: https://www.goaml.nfiu.gov.ng/ and no other officers are expected to register on the web for control purposes. Where the CCO or the MLRO is unavoidably absent, his relief officer should be given access, using the CCO's or the MLRO's passwords so as to enable the NFIU hold the designated officers accountable.

## 6. PROCEDURE FOR WEB REGISTRATION

To enable the Electronic submission of statutory reports by the REs the following steps should be followed:

- Open the NFIU website and click on Electronic reporting
- Click on register
- Ensure that all required information on the registration form are provided
- Ensure that the correct entity code provided by the NFIU is used
- The registration will be approved and communicated to the requesting officer by NFIU Compliance Unit after thorough verification of the data provided via the same medium
- Once your registration has been approved, you are required to log on with the username and password provide during registration.
- You can then use the password to test or to actually send reports to the NFIU

## 7. SUCESSFUL FILING OF REPORTS

For successful reporting, all reporting entities are to ensure that:

- They Comprehend fully the 3.1 XML Schema and that all transactions are converted to XML
- They have all the required information about their customers as required by the XML schema in place

- Each report file should contain a maximum number of 500 transactions per file (reported transactions should be batched not exceeding 500 transactions per batch)
- They have done a thorough risk assessment of their Customers, Products/services, geographic location of their customers and counter parties
- They Update the customers records obtained
- They Have an efficient transactions monitoring mechanism

## 8. TEST REPORTING

It is advisable to always test the report before loading same into the goAML by ensuring that it has passed though the validation process using the validator provided by the NFIU on the web application. However, even if a report is validated against the schema, it still has to go through further processes for quality checks. To test report upload, you are required to do the following;

### a. VALIDATION PROCESS

A report uploaded via the goAML Web interface is validated against the schema and if found valid, it is loaded into a temporary database and the status is set to "Pending Approval". Alternatively, if it is found to be invalid at any stage during this process, it is either fully rejected or partially accepted and a notification sent to the entity that uploaded the report.

## 9. LOGIN AND REPORT UPLOAD

Click on New Reports and select XML Upload to upload reports.

All STRs must be accompanied with the customer's account mandate documents and statements of account(s). Additional information required for STRs like the reason for suspicion and the action taken must be provide. Otherwise, the report will be rejected.

## 10. TREATMENT OF REJECTED REPORTS AND PARTIALLY ACCEPTED REPORTS

All fully rejected reports and partially accepted reports will be communicated to the reporting entity that generated the reports through the Message Board on the goAML application and can be accessed by the authorized user. It is therefore, advisable for all CCOs to check the Message Board daily for the status of their reports. If there is any rejection, it should be corrected and response sent to the NFIU via the message board stating clearly the reference number of the rejected report and date resent.

The fully rejected and partially accepted reports are to be checked against the specific reason(s) for rejection, corrected and re-sent to the NFIU using the initial report reference number within 24 Hours from the time it was rejected as a response to the message conveying the rejection.

Fully rejected reports and those that are partially accepted (partially rejected) are considered as non- reporting and attract sanctions as long as there is evidence of non-compliance with this directive.

## 11. ATTACHEMENT OF DOCUMENTS

The message board can be used to send documents like; Customer mandates, Statement of Accounts to the NFIU or to respond to the NFIU's request for additional information by zipping and attaching the required documents.

## 12. SECURITY MANAGEMENT OF STRs FILED WITH NFIU

Reporting entities are to treat all STRs filed with the NFIU as confidential. On no account should the customer or any unauthorized person be aware that STR has been filed with the NFIU. There is a heavy penalty for tip-off under the MLPA, 2011 on both the institution and its officers

## 13. GENERAL NFIU INFORMATION – SHARING PROTOCOL

**Openness:** A general practice of openness should exist between all reporting entities, regulators and the NFIU.

**Purpose Specification:** The purpose of filling the STR should be specified at the time of making such reports. Further use of the information should be limited to the NFIU only.

**Limitation to Use of information:** STRs filed to the NFIU should not be disclosed to any third party including the regulators or for secondary purposes without the consent of the NFIU. Where such actions have taken place before the STR is filed, the NFIU should be clearly informed given detailed information of the agency that received the information.

**Relevance:** Information provided should be specifically linked to the predicated offences related to money laundering and terrorism financing, timely, and relevant to the purposes for which it is to be used.

**Security safeguards:** All STRs should be protected by reasonable security safeguards against such risks as unauthorized access, destruction, use, modification or disclosure. Access to all STRs should be restricted and should be on a Need-To-Know basis.

**Accountability:** The CCO should be responsible and accountable for complying with this information sharing protocol.

## 14. FEEDBACK MECHANISM

Information provided to the NFIU is expected to meet the objective for which it is made. And the only way the NFIU can assess whether the information provided has met its objective is on the quality of the STR provided. Consequently, feedback is given to the reporting entities that provide quality STRs that leads to further investigations or prosecutions.

## SANCTIONS/PENALTIES

Failure to comply with these reporting guidelines attracts both criminal and administrative sanctions.

Additional, any penalty or sanction applied to any erring reporting entity must be published in the Audited Financial Report of the entity.